AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Uber Technologies

NYSE : UBER · Mature-Company DCF

$137.64B mkt cap · 2.04B sh · $2.7B cash, zero debt · ~$2.7B net cash; ~2.04B shares; $20B buyback authorization (2025); Revenue $52B / gross bookings $193.5B FY25 (+19% GB); $9.76B FCF (+40% YoY), ~14x EV/FCF; Down ~30% from highs on AV fear; ads >$2B run-rate, Uber One ~50M members

22 October 2026 · the qualitative

$67.62

THE CENTRAL QUESTION

Is Uber a dominant FCF-inflecting mobility/delivery network at ~14x EV/FCF — or does autonomy commoditize its driver-marketplace and erode the network toll?

Uber trades at ~$144B (≈$71/sh, down ~30% on AV fear) — ~14x EV/FCF on $9.76B FCF (growing 40%+), $193.5B gross bookings (+19%), net cash and a $20B buyback. The mature DCF asks whether the two-sided network + advertising (>$2B run-rate) + delivery-margin ramp compound, or whether Waymo/Tesla bypass the marketplace. The finding: at 14x FCF for a network compounding GB ~mid-teens with expanding margins, the modal case implies meaningful undervaluation — but a genuine AV-disruption ultra-bear is -44%, so the sign is a bet on Uber remaining the AV demand-aggregator.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) +61.9% · 15% at or below spot

$104.27

expected fair value today

+54.2% vs spot $67.62

FORWARD COMPOUNDED VALUE

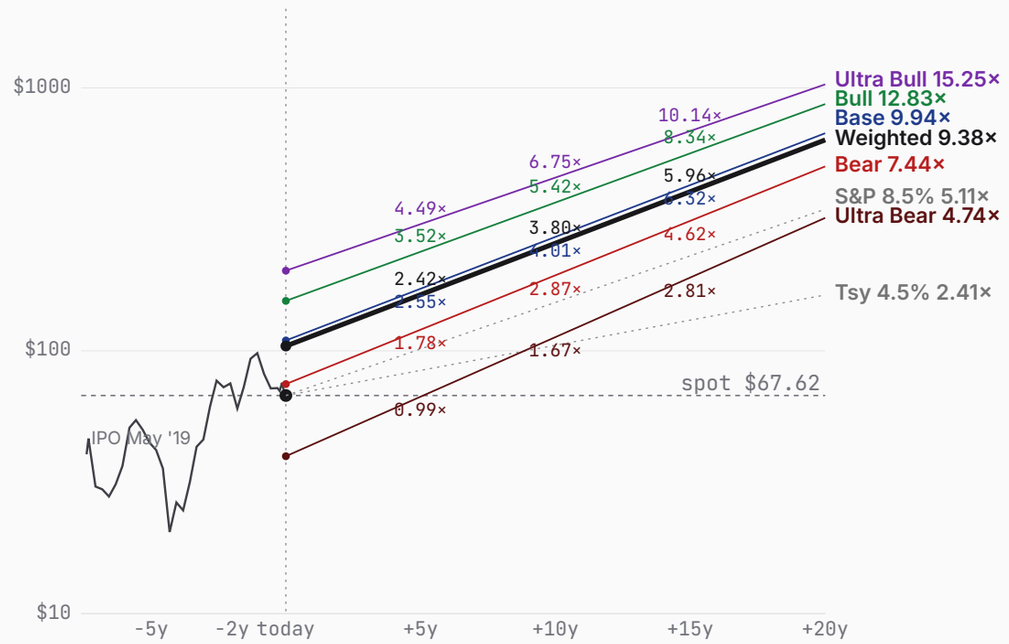
+5y	+10y	+15y	+20y
$163.54	$256.72	$403.31	$634.11
2.42× spot	3.80× spot	5.96× spot	9.38× spot

WEIGHTING RATIONALE

Ultra Bear 15% AV bypasses marketplace; ~$40 (-44%).
Bear 27% AV pressure; decel; ~$75 (+6%).
Base 33% Stays AV aggregator; ads + delivery; ~$110 (+55%).
Bull 18% Network holds; AV accretive; ~$155 (+119%).
Ultra Bull 7% The AV demand layer; ~$202 (+185%).

Bull (18%) + Ultra Bull (7%) together contribute $41.99 — 40% of the $104.27 expected value despite 25% combined probability. Today's spot ($67.62) sits 35% below the weighted expected.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR — $39.73

-41.2% vs spot

CAGR +1.0% WACC 11.0%
CAGR +1.0% Prob 15%

AV bypasses the marketplace; toll erodes.

BEAR — $74.74

+10.5% vs spot

CAGR +5.2% WACC 10.0%
CAGR +5.2% Prob 27%

AV pressure; growth decelerates.

BASE — $109.49

+61.9% vs spot

CAGR +9.0% WACC 9.5%
CAGR +9.0% Prob 33%

Stays the AV aggregator; ads + delivery margin.

BULL — $154.85

+129.0% vs spot

CAGR +11.4% WACC 9.0%
CAGR +11.4% Prob 18%

Network holds; ads scale; AV accretive.

ULTRA BULL — $201.73

+198.3% vs spot

CAGR +13.4% WACC 8.5%
CAGR +13.4% Prob 7%

The AV demand layer; advertising platform.

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Uber Technologies scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 27% Base 33% Bull 18% Ultra Bull 7% · Weighted expected $104.27 (+54.2% vs spot)

ULTRA BEAR $39.73

-41.2% vs spot

Probability 15%

AV bypasses the marketplace; toll erodes.

WHY 15%

The autonomy paradox bear: Uber's biggest hedge (platform for all AVs) is its biggest vulnerability if a winning fleet goes direct. 15% weight on real disruption.

WHAT HAPPENS

Waymo/Tesla scale direct-to-consumer robotaxi fleets that don't need Uber's demand layer, and driver reclassification raises the labor-cost base. Gross bookings stall and the take-rate toll compresses.

DCF ~$40 (-44%) — the network's value collapses if it's disintermediated from the supply side.

BEAR $74.74

+10.5% vs spot

Probability 27%

AV pressure; growth decelerates.

WHY 27%

AV pressure + regulation + competition decelerate the network without breaking it. 27% weight as the 'contested but intact' path.

WHAT HAPPENS

AV uncertainty and competition slow GB to mid-single digits and cap margin expansion; Uber stays profitable but the network thesis is contested.

DCF ~$75 (+6%) — roughly fair; the FCF defends the floor while the AV question hangs over the multiple.

BASE $109.49

+61.9% vs spot

Probability 33%

Stays the AV aggregator; ads + delivery margin.

WHY 33%

Uber stays the AV demand layer (Waymo productivity data supports it) and ads/delivery margins compound. 33% as the central outcome.

WHAT HAPPENS

The modal path: Uber remains the demand aggregator for AV fleets, advertising scales past $3B, delivery margins converge toward mobility's, and GB compounds low-double-digits at a rising FCF margin.

DCF ~$110 (+55%). At 14x FCF the market over-discounts the AV threat relative to the network's durability and the FCF ramp.

BULL $154.85

+129.0% vs spot

Probability 18%

Network holds; ads scale; AV accretive.

WHY 18%

AV becomes a tailwind (Uber as the aggregator for cheaper AV rides) + ads scale. ~18%; the productivity data hints at it.

WHAT HAPPENS

The network power holds, AV partnerships prove accretive (cheaper rides expand the TAM), advertising + Uber One drive a software-like margin mix, and GB compounds mid-teens.

DCF ~$155 (+119%) — the FCF machine re-rates as the AV fear proves overblown.

ULTRA BULL $201.73

+198.3% vs spot

Probability 7%

The AV demand layer; advertising platform.

WHY 7%

Uber is the demand layer every AV fleet needs + a major ad platform. ~7%, the asymmetric upside the AV-discounted entry is buying.

WHAT HAPPENS

Uber becomes the indispensable demand/marketplace layer for the entire AV ecosystem plus a >$10B advertising platform, compounding GB high-teens at peak margins.

DCF ~$202 (+185%) — the platform-for-all-autonomy outcome; ~7% probability.

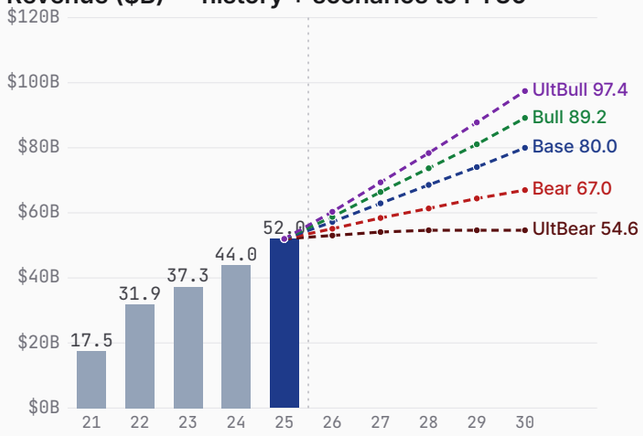
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Uber Technologies business snapshot

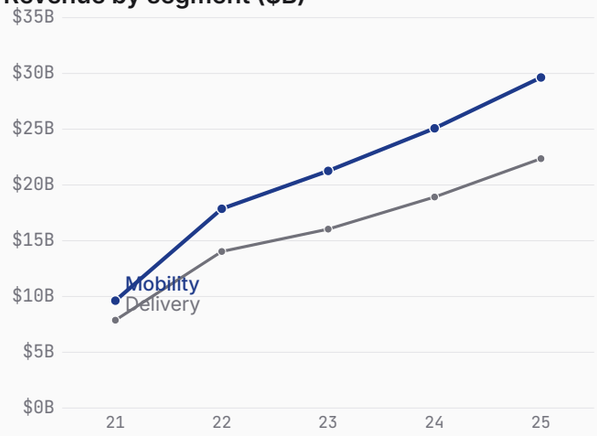
Bear $74.74 Base $109.49 Bull $154.85

FY21-FY25 history + FY26-FY30 scenario projections · calendar fiscal year · FY2025 + Q1'26 results

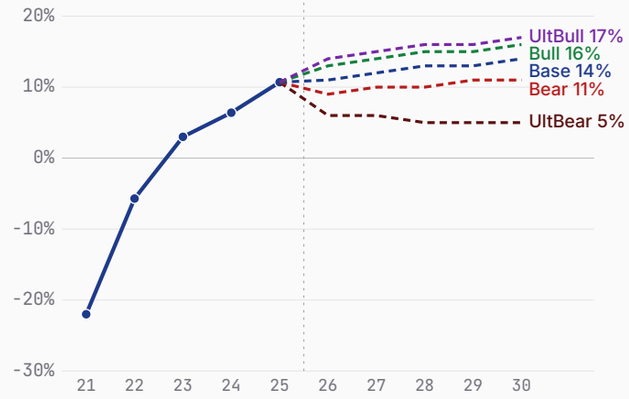
Revenue ($B) — history + scenarios to FY30



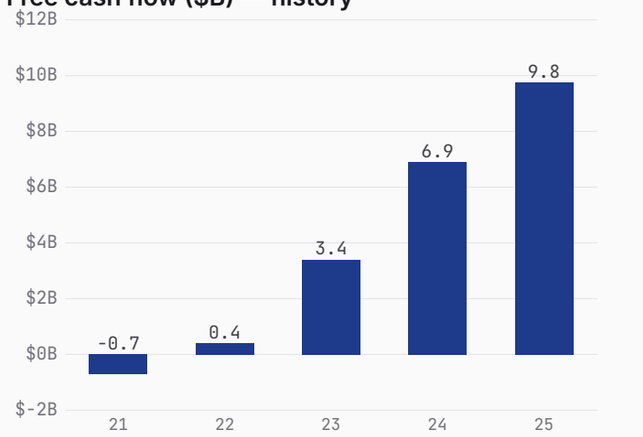
Revenue by segment ($B)



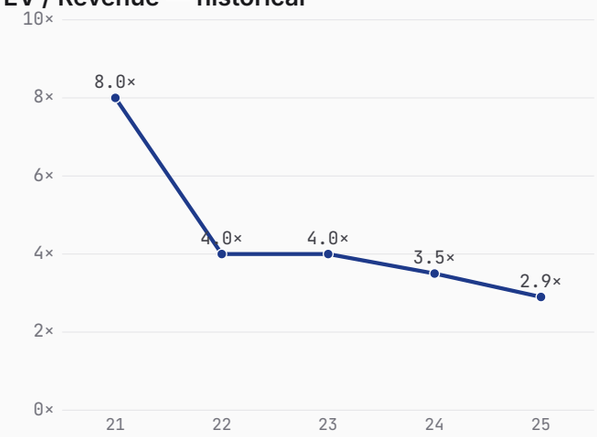
Op margin — history + scenarios



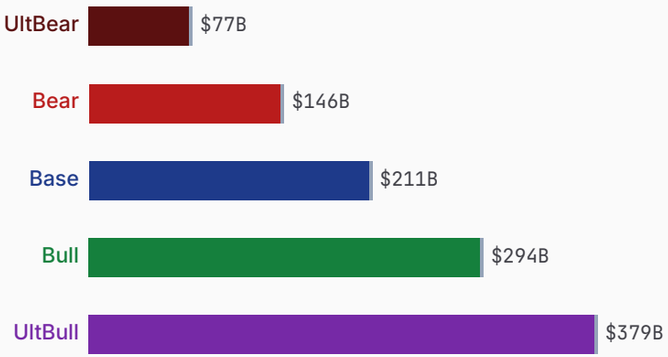
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Op EV · cash · special assets

Sources: Uber FY2025 results (revenue $52B, GB $193.5B, adj EBITDA $8.73B, FCF $9.76B), Q1'26 (GB +25%). Revenue as a growth-rate path off FY25 (or GB x ~27% take); FCF = revenue x FCF margin; Gordon terminal. Equity stakes (Aurora ~$1.4B) immaterial → no SOTP. EV/FCF vs DASH/LYFT.

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Uber Technologies 7 Powers · the moat, scored

Bear $74.74 Base $109.49 Bull $154.85

Arena. Global mobility + delivery — Uber (two-sided rides + eats network, ads, Uber One) vs Lyft (rides), DoorDash (delivery), and the autonomous-vehicle stack (Waymo, Tesla); defending a network Power whose driver-supply side autonomy could commoditize.

POWER AUDIT
dominant-power durability: medium-high

POWER AUDIT · 7 POWERS

Scale Economies ■■■	Largest GB base spreads fixed tech/insurance/support; data + routing density.
Network Economies ◂ thesis leans here ■■■	The dominant Power: two-sided liquidity flywheel, deepest marketplace globally.
Counter-Positioning ■□□	Was the disruptor; AV-native players could counter-position against the human-driver model.
Switching Costs ■■□	Uber One (~50M, ~half of GB) + cross-product habit; real but not deep.
Branding ■■□	'Get an Uber' verb; default global ride-hail brand.
Cornered Resource ■□□	No durable exclusive asset; the AV stack is the cornered resource Uber lacks (Waymo/Tesla have it).
Process Power ■■□	Matching/pricing-algorithm + multi-product operational edge.

PEER SET

Waymo (Alphabet) · n/a
AV leader; runs on Uber in Austin/Atlanta but separating in Dallas/SF — partner turning competitor.

Tesla · n/a
Camera-only robotaxi bet; could go direct-to-consumer and bypass the marketplace.

DoorDash 27% gr · ~25x EV/EBITDA
US delivery leader; richer EV/EBITDA, faster GOV growth.

Lyft 15% gr · 3% mgn · sub-scale
Distant #2 in US rides; sub-scale margin.

THREAT VECTORS · FALSIFIERS

Network Economies · Waymo/Tesla direct-to-consumer AV
falsifier: A major AV fleet scales D2C robotaxi without Uber's demand layer.

Counter-Positioning · Driver reclassification
falsifier: A major-jurisdiction gig-worker ruling structurally raises the labor-cost base.

Scale Economies · DoorDash / Lyft competition
falsifier: DoorDash extends its delivery lead or Lyft regains rides share, compressing take rate.

COMPETITIVE READ

Uber's network economies + scale are genuinely dominant — the deepest two-sided marketplace, now throwing off ~$10B FCF with advertising and delivery margins still ramping. The entire terminal-value debate is the autonomy paradox: the network power is durable only if Uber remains the demand aggregator for AV fleets. At ~14x EV/FCF the market is pricing meaningful AV-disruption risk; the sign of the memo hinges on whether autonomy commoditizes the driver-supply side (ultra-bear -44%) or Uber tolls the cheaper AV rides (base +55%).

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Uber Technologies show your work

Bear $74.74 Base $109.49 Bull $154.85 · Weighted $104.27 (+54.2%)

ULTRA BEAR $39.73

ASSUMPTIONS

5y revenue CAGR (%)	+1.0
Year-5 op margin (%)	5.0
WACC (%)	11.0
Terminal growth (%)	1.0
Terminal FCF ($B)	$7.65B
Starting revenue ($B)	52.00
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	53.04	+6%	+7.96	+7.17
FY27	54.10	+6%	+8.12	+6.59
FY28	54.64	+5%	+7.65	+5.59
FY29	54.64	+5%	+7.65	+5.04
FY30	54.64	+5%	+7.65	+4.54

Σ PV explicit FCF	**+28.93**
+ PV terminal (g 1.0%)	45.85

EQUITY BUILD · $B & PER SHARE

Operating EV	$74.78B
+ Cash & investments	$2.70B
= Equity value	**$77.48B**
FY30 shares (M)	1,950
= Expected per share	**$39.73**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$66.95	$112.81	$190.09	$320.32
0.99×	1.67×	2.81×	4.74×

BEAR $74.74

ASSUMPTIONS

5y revenue CAGR (%)	+5.2
Year-5 op margin (%)	11.0
WACC (%)	10.0
Terminal growth (%)	2.0
Terminal FCF ($B)	$12.73B
Starting revenue ($B)	52.00
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	55.12	+9%	+9.92	+9.02
FY27	58.43	+10%	+10.52	+8.69
FY28	61.35	+10%	+11.04	+8.30
FY29	64.42	+11%	+12.24	+8.36
FY30	66.99	+11%	+12.73	+7.90

Σ PV explicit FCF	**+42.27**
+ PV terminal (g 2.0%)	100.77

EQUITY BUILD · $B & PER SHARE

Operating EV	$143.04B
+ Cash & investments	$2.70B
= Equity value	**$145.74B**
FY30 shares (M)	1,950
= Expected per share	**$74.74**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$120.37	$193.86	$312.21	$502.81
1.78×	2.87×	4.62×	7.44×

BASE $109.49

ASSUMPTIONS

5y revenue CAGR (%)	+9.0
Year-5 op margin (%)	14.0
WACC (%)	9.5
Terminal growth (%)	2.5
Terminal FCF ($B)	$16.80B
Starting revenue ($B)	52.00
Scenario probability (%)	33

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	57.20	+11%	+10.87	+9.93
FY27	62.92	+12%	+12.58	+10.49
FY28	68.58	+13%	+13.72	+10.45
FY29	74.07	+13%	+15.55	+10.82
FY30	79.99	+14%	+16.80	+10.67

Σ PV explicit FCF	**+52.36**
+ PV terminal (g 2.5%)	156.26

EQUITY BUILD · $B & PER SHARE

Operating EV	$208.62B
+ Cash & investments	$2.70B
= Equity value	**$211.32B**
FY30 shares (M)	1,930
= Expected per share	**$109.49**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$172.36	$271.34	$427.16	$672.45
2.55×	4.01×	6.32×	9.94×

BULL $154.85

ASSUMPTIONS

5y revenue CAGR (%)	+11.4
Year-5 op margin (%)	16.0
WACC (%)	9.0
Terminal growth (%)	3.0
Terminal FCF ($B)	$20.51B
Starting revenue ($B)	52.00
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	58.76	+13%	+12.34	+11.32
FY27	66.40	+14%	+14.61	+12.29
FY28	73.70	+15%	+16.21	+12.52
FY29	81.07	+15%	+18.65	+13.21
FY30	89.18	+16%	+20.51	+13.33

Σ PV explicit FCF	**+62.68**
+ PV terminal (g 3.0%)	228.84

EQUITY BUILD · $B & PER SHARE

Operating EV	$291.52B
+ Cash & investments	$2.70B
= Equity value	**$294.22B**
FY30 shares (M)	1,900
= Expected per share	**$154.85**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$238.26	$366.59	$564.04	$867.84
3.52×	5.42×	8.34×	12.83×

ULTRA BULL $201.73

ASSUMPTIONS

5y revenue CAGR (%)	+13.4
Year-5 op margin (%)	17.0
WACC (%)	8.5
Terminal growth (%)	3.0
Terminal FCF ($B)	$24.36B
Starting revenue ($B)	52.00
Scenario probability (%)	7

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	60.32	+14%	+13.27	+12.23
FY27	69.37	+15%	+16.65	+14.14
FY28	78.39	+16%	+18.81	+14.73
FY29	87.79	+16%	+21.95	+15.84
FY30	97.45	+17%	+24.36	+16.20

Σ PV explicit FCF	**+73.14**
+ PV terminal (g 3.0%)	303.42

EQUITY BUILD · $B & PER SHARE

Operating EV	$376.56B
+ Cash & investments	$2.70B
= Equity value	**$379.26B**
FY30 shares (M)	1,880
= Expected per share	**$201.73**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$303.33	$456.11	$685.83	$1,031.25
4.49×	6.75×	10.14×	15.25×

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Uber Technologies People · Opportunity · Context · Deal

Bear $74.74 Base $109.49 Bull $154.85

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Dara Khosrowshahi

8 yrs in seat

3%
insider ownership

LOW
key-person risk

Capital allocation (realized)
The standout leg: turned to GAAP profit (FY2023, first ever) and ~$6.9B FY2024 free cash flow, then opened capital return — a first $7B buyback (Feb 2024) escalated to a $20B authorization (Aug 2025, ≥50% of FCF). Divested the cash-burning bets (self-driving → Aurora; air taxi → Joby; bikes → Lime); legacy Didi/Grab stakes run down. (FY2024 GAAP net income was flattered by a ~$6.4B tax-valuation release.)

Incentive alignment
Pay is PSU/PRSU-weighted (multi-year metrics: gross bookings, operating income, AV partnerships); FY2024 ~$39.4M, the jump driven by share-price appreciation on already-granted awards, not a structural raise. Pay-for-performance, equity-led.

GOVERNANCE FLAGS

- single-class (one share, one vote) — super-voting eliminated in 2017 (pre-IPO, a SoftBank condition)
- separate independent chair (Ronald Sugar) vs CEO; majority-independent board
- founder Travis Kalanick fully exited (board + entire stake, Dec 2019); SoftBank overhang cleared
- low insider ownership (Dara ~0.07%; aggregate ~3-4%) — institutionally dispersed

> PEOPLE READ
>
> The professionalized-after-the-founder case: a hired CEO who turned Uber to free cash flow and a $20B buyback regime, on a clean single-class register with an independent chair and no controller — the structural opposite of a founder-control name. The only real demerits: low insider skin-in-the-game and some execution-continuity tied to Dara.

THE FOUR LEGS

People ●●●●○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator (UBER 4.69)

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
+54.2% vs spot $67.62

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Uber Technologies supporting analysis · disclaimers · glossary

Bear $74.74 Base $109.49 Bull $154.85

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1. **~14x EV/FCF on $9.76B FCF growing 40%+.**
   A dominant two-sided network priced at a mid-teens FCF multiple while FCF is still inflecting steeply — the AV fear is doing the discounting.
2. **Advertising is the hidden high-margin lever.**
   >$2B run-rate, +50%, near-100% incremental margin — the single biggest take-rate/margin-expansion driver, embedded in the segments.
3. **Uber One + multi-product flywheel.**
   ~50M members driving ~half of gross bookings; rides+eats+ads on one app deepen switching costs.
4. **AV could be a tailwind, not just a threat.**
   Waymo on Uber outproduced 99% of human drivers; Uber's aggregator strategy + ~$10B AV commitments position it as the demand layer.
5. **$20B buyback, net cash.**
   ~7% FCF yield funding a large buyback at a depressed multiple — accretive.

FALSIFICATION TRIGGERS

Bull validation

autonomous trips scale on Uber's network profitably · advertising passes $3B run-rate · delivery margin converges toward mobility's 8% of GB · GB stays mid-teens+

Bear validation

a major AV fleet (Waymo/Tesla) scales direct-to-consumer · driver reclassification raises the cost base · GB decelerates to mid-single

Reframe needed

if AV demonstrably disintermediates the driver-marketplace (fleets bypass Uber's demand), re-rate the network durability + terminal toward a commoditized-logistics multiple

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Gross bookings (GB) — Total value of rides+eats+freight (~$193.5B FY25); revenue is GB x ~27% take rate — the top of the model.

Uber One — ~50M-member subscription driving ~half of gross bookings; the frequency/retention + switching-cost flywheel.

AV / autonomy paradox — Uber's strategy to be the demand aggregator for all AV fleets is also its vulnerability — a winning fleet could bypass the marketplace.

FCF margin — Free cash flow / revenue (~19% FY25, rising); the mature-DCF lever as ads + delivery margin mix up.

Network economies — Helmer Power: more riders ↔ more drivers → lower wait/price → more riders; the deepest two-sided marketplace globally.